

HONG KONG EXAMINATIONS AND ASSESSMENT AUTHORITY
HONG KONG DIPLOMA OF SECONDARY EDUCATION EXAMINATION 2018

ECONOMICS PAPER 1

8:30 am – 9:30 am (1 hour)

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong marks can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the
end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Which of the following statements about a planned economy is correct?
 - A. The quantity of public goods in the economy is greater than that in a market-oriented economy.
 - B. Most production activities are carried out by government officials.
 - C. All resources are allocated by government commands.
 - D. Competitions still exist in the economy.

2. The Chief Executive proposed to raise the recurrent education spending by \$5 billion. One of her proposals was to provide a \$30 000 subsidy to eligible secondary school graduates studying self-financing programmes. The above proposal is related to the _____ question(s) in Economics.
 - A. 'how to produce'
 - B. 'for whom to produce'
 - C. 'what to produce' and 'how to produce'
 - D. 'what to produce' and 'for whom to produce'

3. John, a Secondary 6 graduate, is considering studying a programme either in Hong Kong or the Mainland. Which of the following situations would lower his opportunity cost of studying the programme in Hong Kong?
 - (1) His tuition fee of the first year will be waived if he studies the programme in Hong Kong.
 - (2) The graduates of the Mainland programme have better job prospects.
 - (3) The qualification of the Mainland programme may not be recognised in Hong Kong.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

4. The following statements are adapted from the 2017-18 Budget Speech by the Financial Secretary of Hong Kong.

Statement (1): The global economy in 2016 recorded the slowest growth since the global financial crisis.

Statement (2): For 2016 as a whole, there was a growth of 1.9%, consistent with the 1% to 2% economic growth as forecast in last year's Budget.

Statement (3): While recognising the effect of market forces, the Government should play an active role as a facilitator by taking forward appropriate policies with good use of public resources.

Which of the above is a normative statement / are normative statements?

 - A. (1) only
 - B. (3) only
 - C. (1) and (2) only
 - D. (2) and (3) only

5. Which of the following statements about the exhibits in the Louvre Museum is correct?

- A. They are public goods because the Louvre Museum is open to the public.
- B. They are capital because they are man-made resources used in production.
- C. They are consumer goods because more of them are preferred.
- D. They are economic goods because they satisfy human wants.

6. The following table shows the cost-output relationship of a profit-maximising firm. The firm has a fixed cost of \$5.

Output (units)	1	2	3	4	5	6
Average cost (\$)	7	6	7	8	9.6	12

Which of the following statements is correct?

- A. The optimal scale of production is 2 units.
- B. There exist diseconomies of scale after the third unit of output is produced.
- C. If the market price is \$8, the output is 4 units.
- D. If the market price is \$9, the profit is \$6.

7.

	Firm X	Firm Y
Number of owners	2	10
Transfer of ownership	the consent of other owners required	the consent of other owners NOT required
Disclosure of financial account to public	NOT required	required

According to the above table, which of the following descriptions of Firm X and Firm Y is correct?

- A. Firm Y earns a higher profit than Firm X.
- B. Firm Y raises more capital than Firm X.
- C. Owners of both firms enjoy limited liability.
- D. Firm Y is a legal entity while Firm X may not be.

8. Toridoll Holdings Corporation, a leading company in the restaurant industry in Japan, acquired a Hong Kong noodle chain Tam Chai Yunnan Noodles (譚仔雲南米線). Which of the following is the **LEAST** likely motive behind the integration?

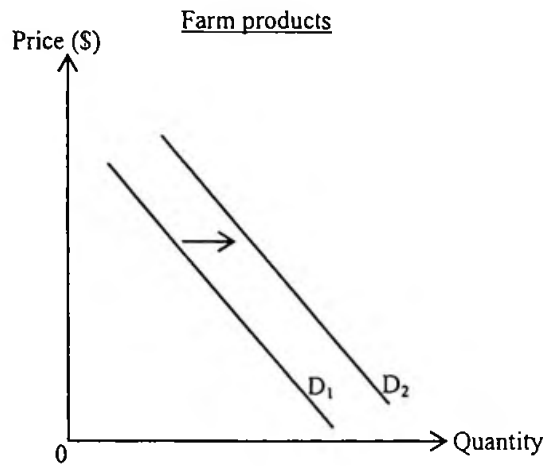
- A. to secure the supply of factor inputs
- B. to spread risk through product diversification
- C. to enjoy economies of scale
- D. to expand its business to other markets

9. The labour supply in Hong Kong would increase if
- more Hong Kong people migrated to foreign countries.
 - more Hong Kong students studied in tertiary institutions.
 - the Government lowered the qualification requirements for the Quality Migrant Admission Scheme,
 - all working fathers were allowed to take two extra days of paternity leave.
10. The following table shows the input-output relationship of a firm. The only inputs required are capital and labour.

Capital (units)	Labour (units)	Marginal product of labour (units)
2	1	5
2	2	7
2	3	9
2	4	8
2	5	6

- The average product of labour is at the highest when the quantity of labour is ____ units.
- 2
 - 3
 - 4
 - 5
11. A professor has decided to change the way of marking the exam papers of his subject. Instead of asking his teaching assistants to mark the whole paper for their own classes, he assigns each teaching assistant to mark one question of the paper for the entire candidature. Which of the following situations would likely occur?
- The marking will be more accurate since practice makes perfect.
 - Training time will be reduced as each assistant only needs to know part of the marking schemes.
 - The tools required for marking will be reduced such as fewer red pens are needed.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
12. Which of the following statements about economies of scale is correct?
- It could be a source of monopoly power.
 - It exists when the average fixed cost is falling.
 - Only large firms enjoy economies of scale.
 - It is the result of the law of diminishing marginal returns.

13.



Refer to the above diagram. The price of farming tools will

- A. rise because farm products and farming tools are in joint demand.
- B. fall because farm products and farming tools are in joint demand.
- C. rise because demand for farm products creates a derived demand for farming tools.
- D. fall because demand for farm products creates a derived demand for farming tools.

14. The government imposes a per unit tax on a good. The price of the good will remain unchanged if

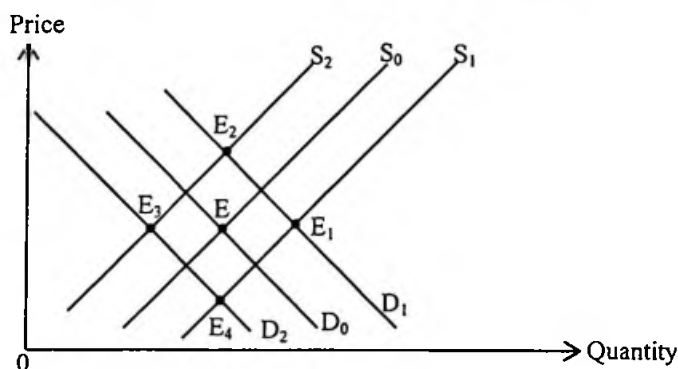
- (1) the demand is perfectly elastic.
- (2) the demand is perfectly inelastic.
- (3) the supply is perfectly elastic.
- (4) the supply is perfectly inelastic.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

15. The average waiting time for public housing is 4.7 years according to the data from the Housing Authority. Which of the following would lead to an increase in the waiting time for public housing in the long term?

- A. a financial aid offered to low-income families renting private residential flats
- B. a rise in the income limit of applying for public housing
- C. a relaxation of rules regulating the change of land use
- D. a provision of shared-housing units by a billionaire for the applicants of Comprehensive Social Security Assistance Scheme

16. The diagram below shows the supply and demand curves of air-purifiers. The original equilibrium point is E.



Suppose there is a technological advance in producing air-purifiers. At the same time, the average air pollution index has been increasing over the last decade. The new equilibrium point will be at _____.

- A. E_1
 - B. E_2
 - C. E_3
 - D. E_4
17. The original price of Sausage McMuffin with Egg was \$11 each. McDonald's introduced the following discount in a limited time.



As a result, more people bought Sausage McMuffin with Egg during the promotion period. Which of the following statements about this situation is correct?

- A. McDonald's was not maximising profit during the promotion period.
 - B. The demand for Sausage McMuffin with Egg would be higher during the promotion period.
 - C. The total expenditure of consumers on Sausage McMuffin with Egg would increase if the demand was elastic.
 - D. There would be a temporary shortage of the food ingredients for making Sausage McMuffin with Egg.
18. Refer to the following supply and demand schedules for Good X.

Unit price (\$)	13	12	11	10	9	8	7
Quantity demanded (units)	70	80	90	100	110	120	130
Quantity supplied (units)	130	120	110	100	90	80	70

Suppose the government increases the price ceiling from \$8 to \$12. Which of the following statements is correct?

- A. There would be a shortage of 40 units of Good X.
- B. There would be a surplus of 40 units of Good X.
- C. The total expenditure on Good X would increase by \$360.
- D. The quantity transacted of Good X would remain unchanged.

19. Which of the following statements is correct after the adjustment of taxi fare shown below?

Existing taxi fare		Adjusted taxi fare	
First 2 kilometres:	\$20	First 2 kilometres:	\$25
Every subsequent 200 metres:	\$1.5	Every subsequent 200 metres:	\$1.5

- A. Passengers will take more long-distance taxi trips.
- B. The ratio of short-distance taxi trips taken to long-distance taxi trips taken will decrease.
- C. The total revenue received by taxi drivers will increase.
- D. The fixed cost of operating taxi service will increase.

20. The following table shows the number of new Tesla electric vehicle registered in Hong Kong.

Month	Number of new Tesla electric vehicle registered in Hong Kong
December 2016	168
January 2017	168
February 2017	590
March 2017	2 939

The Government announced in mid-February 2017 that the full exemption from first registration tax on electric vehicles would end on March 31, 2017.

Which of the following best explains the above data?

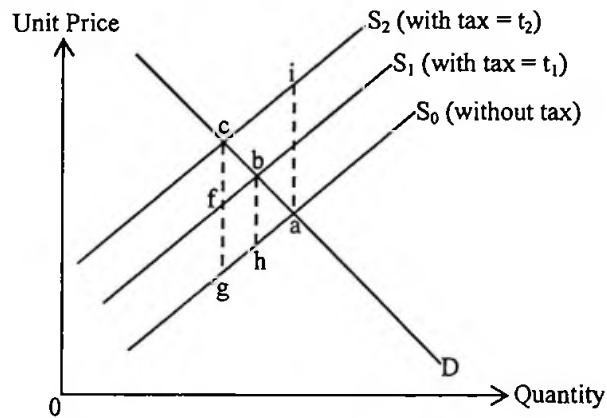
- A. The supply of electric vehicles increased because new technology reduced the production cost of battery used in electric vehicles.
- B. The supply of electric vehicles increased because of the exemption of first registration tax by the Government.
- C. The demand for electric vehicles increased because the Government built more charging stations in the city.
- D. The demand for electric vehicles increased because the buyers expected the cost of buying electric vehicles to go up in the future.

21. Sony's PS4 was responsible for \$17.8 billion of sales value, or 51% share of the global console hardware market, compared with Microsoft's Xbox One at \$9.1 billion of sales value or a 26% market share. Nintendo's 3DS platform (and its variants, such as the 2DS) was a distant third on the list with \$2.6 billion of sales value or 8% share of the market.

The market structure of the above global console hardware market is oligopoly. This statement is

- A. correct because the companies sell heterogeneous goods in the market.
- B. correct because there are a few dominating companies in the market.
- C. incorrect because the PS4 was only responsible for 51% of the market.
- D. incorrect because there are a lot of sellers in the global market.

22. The following diagram shows the demand and supply curves of Good X.



Suppose the government increases the tax on Good X from t_1 to t_2 . Which of the following statements is correct?

- A. The deadweight loss will increase by area $bcgh$.
 - B. The deadweight loss will decrease by area abh .
 - C. The new deadweight loss is area bcf .
 - D. The new deadweight loss is area aci .
23. Recently, unmanned aircraft systems have become very popular but using those aircrafts in urban areas has caused noise and safety concerns. The Civil Aviation Department is considering regulating the manufacture, import and sale of unmanned aircraft systems.



It is an example of divergence between private and social _____ and the _____ solution is being considered to reduce the divergence.

- A. costs market
 - B. costs government
 - C. benefits market
 - D. benefits government
24. Which of the following are included in the calculation of the gross domestic product of Hong Kong?
- (1) the estimated rental value of an owner-occupied property in Hong Kong
 - (2) the commission received by a real estate agent from selling second-hand property
 - (3) the scholarship received by a university student
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

25. The following table shows the gross domestic product (GDP) data of an economy in a particular year:

GDP components	\$ billion
Capital consumption allowance	40
Net factor income from abroad	36
Production subsidies	14
Direct taxes	5
Indirect taxes	47

Which of the following statements about the economy are correct?

- (1) The GDP is smaller than the gross national income (GNI).
- (2) The GDP at market price is smaller than the GDP at factor cost.
- (3) Depreciation is positive in the economy.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

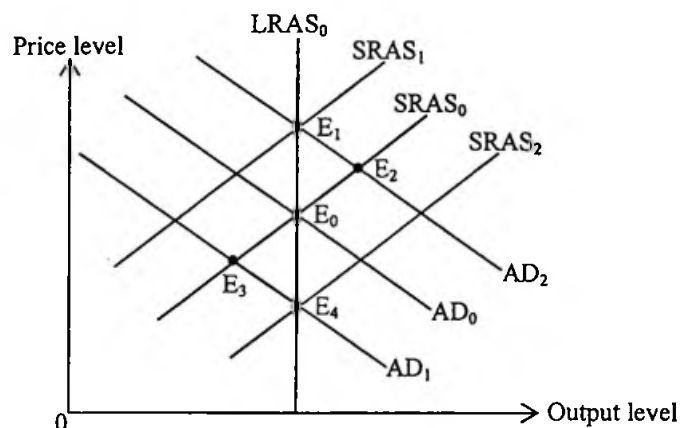
26. The short run aggregate supply curve will shift to the right if

- A. the government relaxes the importation quota of foreign workers.
- B. the government increases the profits tax rate.
- C. the central bank sells government bonds to the public.
- D. there is an increase in the price level.

27. Which of the following will lead to an increase in both price level and aggregate output in the short run?

- A. There is an improvement in production technology.
- B. There is an increase in the oil price.
- C. There is a decrease in money supply.
- D. There is a decrease in the desire to save.

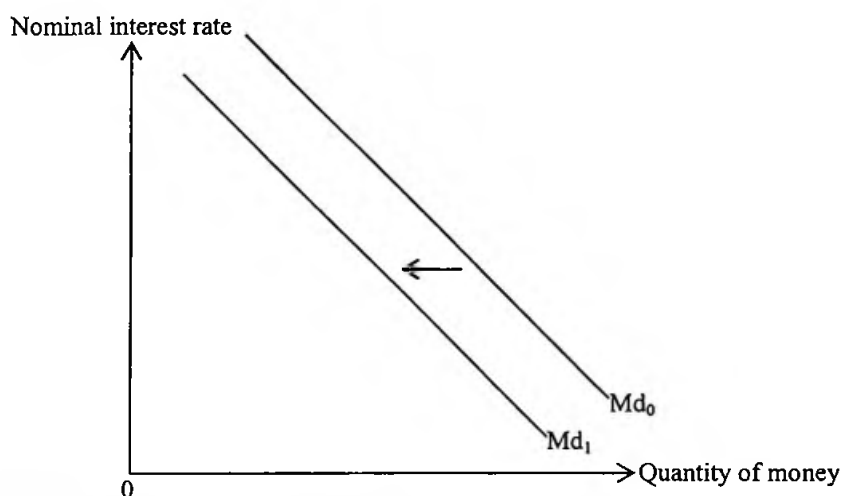
28. The diagram below shows the aggregate demand (AD) curves, short run aggregate supply (SRAS) curves and the long run aggregate supply (LRAS) curve of an economy. The economy initially operates at E_0 .



If the government gives \$10 000 cash to every citizen every year, the short-run equilibrium will be at _____ and the long-run equilibrium will be at _____.

- A. E_2 E_0
- B. E_2 E_1
- C. E_3 E_0
- D. E_3 E_4

29.



Which of the following would result in the above change in money demand?

- A. The central bank issues larger denomination banknotes for circulation.
 - B. The expected inflation rate drops.
 - C. The risk of investing in stock market decreases.
 - D. Security problems have been found in the major electronic payment system.
30. Which of the following will lead to a reduction in monetary base?
- A. The central bank increases the required reserve ratio.
 - B. The central bank purchases the government bonds from the public.
 - C. The central bank raises the discount rate.
 - D. The commercial banks hold more excess reserves.

31. Brian wants to deposit \$80 000 for two months in an authorised institution in Hong Kong in the form of a negotiable certificate of deposit. Which of the following statements is correct?
- A. As the term of maturity is longer than one month, a deposit-taking company can accept his deposit.
 - B. As the term of maturity is shorter than three months, a restricted licence bank can accept his deposit.
 - C. As the amount of deposit is less than \$500 000, a restricted licence bank cannot accept his deposit.
 - D. As negotiable certificates of deposit are not available in a licensed bank, a licensed bank cannot accept his deposit.

32. Refer to the following information about an economy.

Money supply	\$35 000
Actual reserve ratio	25%
Excess reserves	\$1 150

Suppose the public always holds \$12 000 cash. If all banks loan out their excess reserves and all the loans are re-deposited into the banking system,

- A. the maximum possible amount of money supply will be \$28 750.
 - B. the monetary base of the economy will be \$16 600.
 - C. the maximum possible amount of loans will be \$23 000.
 - D. the maximum banking multiplier will be 4.
33. Which of the following is **NOT** a function of the Hong Kong Monetary Authority?
- A. to stabilise the mortgage rate
 - B. to issue currency notes
 - C. to supervise the commercial banks
 - D. to manage the Exchange Fund
34. Assume that the real interest rate is 6% and the expected inflation rate is 3%. If the actual inflation rate is 5%, the cost of holding money will be _____.
- A. 4%
 - B. 6%
 - C. 9%
 - D. 11%

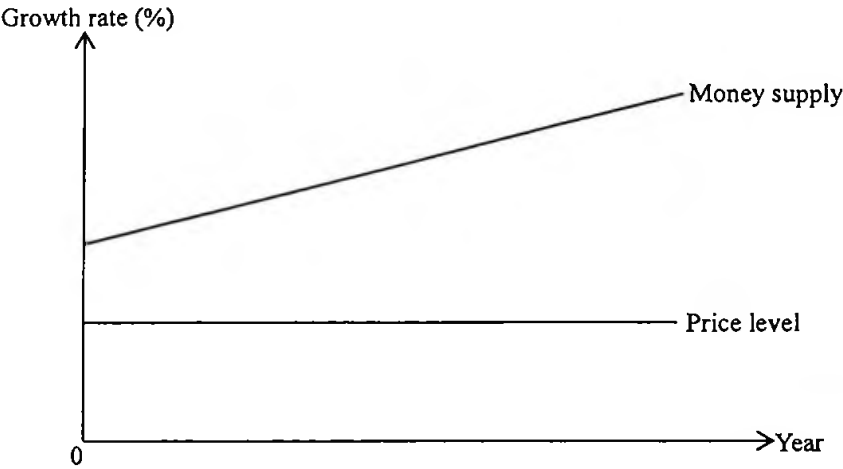
35. Suppose the salaries tax system in Hong Kong has the following changes:

Old system		New system	
Net chargeable income	Tax rate	Net chargeable income	Tax rate
First \$50 000	2%	First \$60 000	2%
Next \$50 000	7%	Next \$60 000	7%
Next \$50 000	12%	Next \$60 000	12%
Remainder	17%	Remainder	17%
Standard rate		Standard rate	
	15%		15%

If the basic tax allowance remains unchanged, which of the following is most likely to be a result of the above changes in the tax system?

- A. Fewer people will fall into the tax net.
 - B. Fewer people will have to pay at the standard tax rate.
 - C. People’s work incentive will decrease.
 - D. Consumption expenditure will decrease.
36. Suppose a deflationary (output) gap and a fiscal deficit exist in a country. Which of the following would narrow the deflationary (output) gap and reduce the fiscal deficit at the same time?
- A. increasing government expenditure on infrastructure
 - B. reducing the profits tax rate
 - C. increasing the tax rebate on salaries tax
 - D. allowing more tourists to travel to the country visa-free

37. Refer to the following diagram.

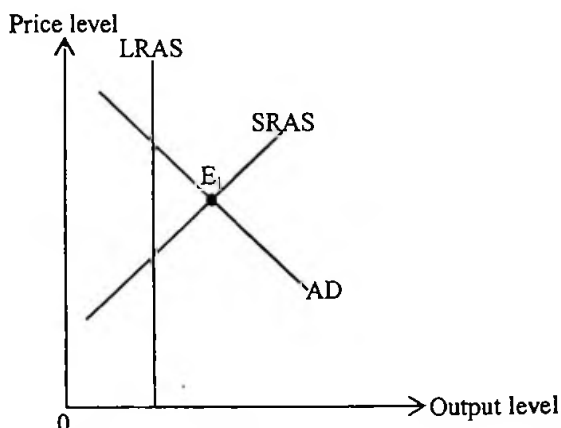


According to the quantity theory of money, which of the following statements is correct?

- A. The inflation rate is zero.
- B. The growth rate of real output is increasing.
- C. The growth rate of money supply is constant.
- D. The growth rate of nominal income is constant.

38. Suppose there is a reduction in the basic allowance of the salaries tax in an economy. Which of the following can offset its effect on aggregate demand?
- People's desire to save increases.
 - The price level decreases.
 - The central bank carries out an open market sale of government bonds.
 - The required reserve ratio in the banking system decreases.

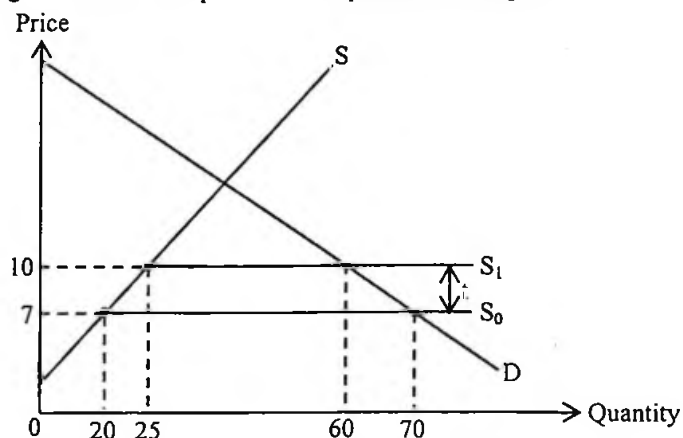
39. Refer to the AS-AD diagram below.



The economy operates at E_1 initially. Which of the following can help the economy restore to the long run equilibrium?

- to reduce the subsidies to small enterprises
 - to increase the required reserve ratio
 - to reduce the discount rate
 - to reduce property tax
- (1) and (2) only
 - (3) and (4) only
 - (1), (2) and (3) only
 - (2), (3) and (4) only
40. A Hong Kong resident works for a Mainland company located in Shenzhen and he earns a monthly wage. He receives dividend from Hang Seng Bank and rental income from a leased apartment in Mongkok as well. He took a flight to Seoul departing from the Hong Kong International Airport last month.
- Which type(s) of direct tax does he need to pay in Hong Kong?
- property tax
 - profits tax
 - salaries tax
 - air passenger departure tax
- (1) only
 - (1) and (4) only
 - (1), (2) and (3) only
 - (2), (3) and (4) only

41. The following diagram shows an imposition of import tariff on a good of a small open economy.

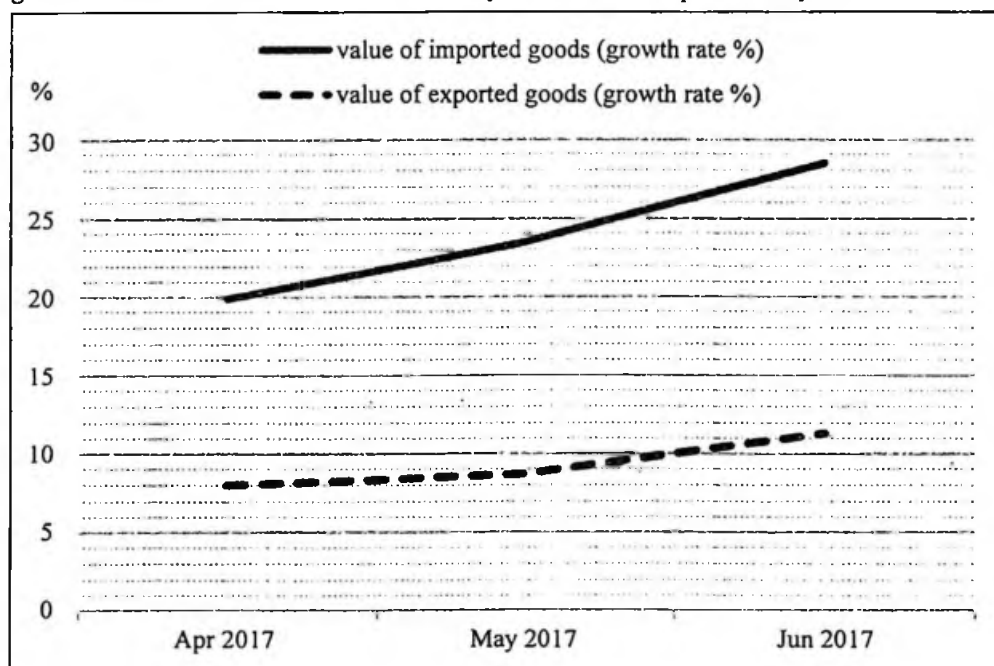


Referring to the above diagram, which of the following statements are correct after the imposition of import tariff (t)?

- (1) The total amount of tariff received by the government is \$105.
- (2) The revenue of domestic producers will increase by \$110.
- (3) The volume of imports drops by 15 units.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

42. The diagram below shows some trade data of Country A in the second quarter last year.



Country A reported a trade surplus during that period. Based on the given information, we can conclude that during the second quarter last year,

- A. the trade balance was in deficit.
- B. the volume of imported goods increased faster than that of exported goods.
- C. the visible trade surplus decreased.
- D. the current account deficit increased.

43. The following table shows the output per unit of resources in Countries A and B:

	Computer (units)		Rice (units)
Country A	16	OR	16
Country B	12	OR	3

Suppose the computer-producing country exports 10 units of computer in exchange for 5 units of rice. What is the total gain from trade for computer-importing country?

- A. 0.5 units of computer
 B. 1 unit of computer
 C. 2.5 units of computer
 D. 5 units of computer
44. The Hong Kong Tourism Board organised the E-sports and Music Festival in summer 2017. Foreign E-sports players and K-pop superstars participated in the festival and they attracted locals and tourists from other parts of the world to attend the event. Organising the festival will lead to
- (1) an increase in private consumption expenditure in Hong Kong.
 (2) an increase in export of services in Hong Kong.
 (3) a decrease in balance of payment deficit in Hong Kong.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)
45. Mr Wong used \$10 000 Hong Kong Dollars (HKD) to buy Renminbi (RMB) at Day 1 and sold the sum at Day 2 to obtain HKD at the exchange rates shown in the table below.

	Exchange rate
Day 1	1 HKD = 0.83 RMB
Day 2	1 HKD = 0.77 RMB

Mr Wong _____ approximately in the above transactions.

- A. lost HK\$779
 B. lost HK\$600
 C. gained HK\$600
 D. gained HK\$779

END OF PAPER

Sources of materials used in this paper will be acknowledged in the booklet *HKDSE Question Papers* published by the Hong Kong Examinations and Assessment Authority at a later stage.

ECONOMICS PAPER 2
Question-Answer Book

10:15 am – 12:30 pm (2 hours 15 minutes)
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9 and 11.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the spaces provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the 'Time is up' announcement.

Please stick the barcode label here.

Candidate Number

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Answers written in the margins will not be marked.

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- This image shows a single sheet of white paper with horizontal dashed lines. The lines are evenly spaced and run across the width of the page, providing a guide for handwriting practice. There are no margins, text, or other markings on the paper.

- [illegible]

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

3. Shenzhen has become China's 'Silicon Valley'. The headquarters of many high technology firms such as Tencent (騰訊), Huawei (華為) and BYD (比亞迪) are located there. Explain **TWO** external economies of scale high technology firms may enjoy in Shenzhen. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

4. Apart from the difference in education level, explain **TWO** factors that may lead to income inequality. (4 marks)

5. During peak flu seasons, there is not enough medical staff in public hospitals in Hong Kong.
- (a) An economist stated, 'Even if the government sharply increases the wage rates of the medical staff, it is still difficult to relieve the problem.' Justify his statement using the concept of elasticity of supply / demand. (3 marks)
- (b) In order to relieve the pressure of the medical staff, the government plans to recruit retired medical staff to re-join the public hospitals. Explain how the measure would affect the unemployment rate in Hong Kong. (4 marks)

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6. The government proposes the following changes in the profits tax system.

Profit	Existing system	New two-tier system
On the first \$2 000 000	16.5%	8.25%
Remainder		16.5%

- (a) Would the above changes in tax system *necessarily* result in a drop in profits tax revenue? Explain. (4 marks)
- (b) Evaluate the above changes in the tax system in terms of ONE principle of taxation put forward by Adam Smith. (2 marks)

Answers written in the margins will not be marked.

7. (a) The following is the balance sheet of a banking system.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	500	Deposits	2 000
Loans	1 500		

Initially the banks held \$100 million excess reserves and the public held \$100 million cash. Suppose the central bank buys \$40 million worth of government bonds from the public.

- (i) Calculate the new monetary base. Show your workings. (2 marks)
 - (ii) State **TWO** assumptions under which the actual change in money supply would equal the maximum possible change in money supply. (2 marks)
 - (iii) Calculate the maximum possible change in money supply. Show your workings. (4 marks)
- (b) Based on the quantity theory of money, predict the effect of an open market purchase of government bonds by the central bank on the price level. State the assumption(s) needed to reach your conclusion. (4 marks)

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Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

9. The Express Rail Link (XRL) project (Hong Kong Section) is expected to be completed in 2018. It will shorten the estimated journey time between Hong Kong and various Mainland cities. Below are some opinions on the XRL project.

Government officials

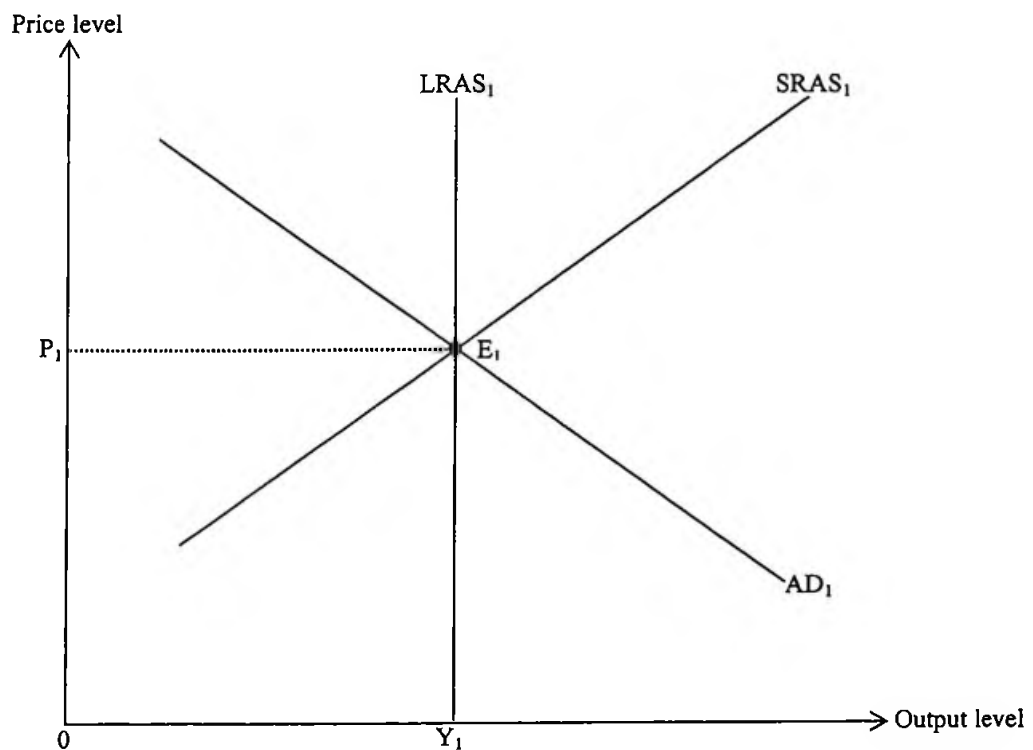
With better infrastructure, the overall economic development of Hong Kong will be enhanced.

Small medium enterprise owners

We expect that the XRL could bring more Mainland travellers to Hong Kong.

Suppose the Hong Kong economy operates at E_1 . With reference to the above opinions, show why the price level of Hong Kong may rise in the long run after the completion of XRL project in Figure 1. (3 marks)

Figure 1



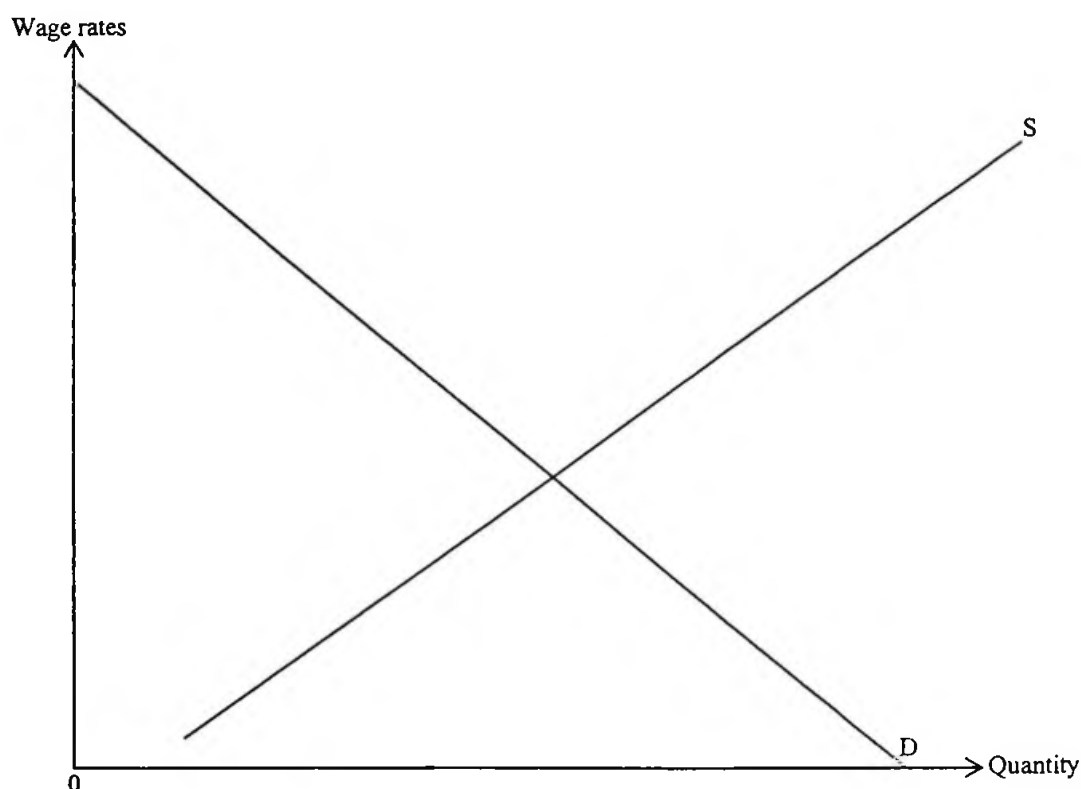
END OF SECTION A

Answers written in the margins will not be marked.

Section B (54 marks)

10. Foreign domestic helpers are paid with a minimum wage at HK\$4 410 per month for a two-year contractual period in Hong Kong.
- Explain why foreign domestic helpers are paid by a monthly salary instead of a piece rate. (2 marks)
 - Who, the employers or the foreign domestic helpers, will suffer a loss if there is an unexpected inflation in the contractual period? Explain. (2 marks)
 - Suppose the minimum wage in the market of foreign domestic helpers in Hong Kong is effective. With the aid of Figure 2, explain how it may result in economic inefficiency. (4 marks)

Figure 2: Foreign Domestic Helpers in Hong Kong



It is reported that the Mainland market is about to open its doors to maids from the Philippines, offering them a salary several times higher than the minimum wage for foreign domestic helpers in Hong Kong.

- Some employers in Hong Kong claimed, 'Even if we offer higher wages to foreign domestic helpers, there will still be insufficient foreign domestic helpers in Hong Kong after the opening of the Mainland market to maids from the Philippines.' With the aid of Figure 2, explain why the above claim may be correct. (6 marks)
- Other than insufficient foreign domestic helpers, suggest **ONE** phenomenon that may be observed in the market of foreign domestic helpers in Hong Kong after the opening of the Mainland market to maids from the Philippines. (1 mark)

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Answers written in the margins will not be marked.

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11. To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 - 25 are also required to join the military force for 2 years.

In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's:

- general living standard,
- aggregate output in the short run, and
- balance of payment.

(10 marks)

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12. Tourism is one of the 'pillar industries' in Hong Kong.

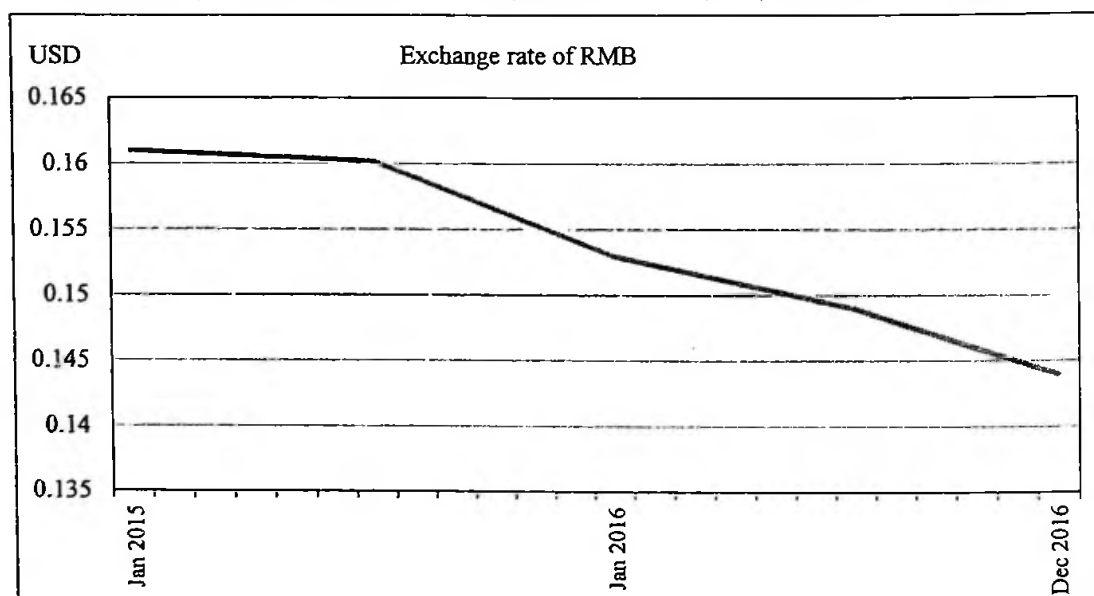
Source 1: search result from a hotel booking website

Hotel A Tsim Sha Tsui East, Kowloon	☆☆☆☆☆ 30 square metres 2 Twin Beds	Free cancellation	Book now! HK\$2100 OR RMB¥1750
Hotel B Tsim Sha Tsui East, Kowloon	☆☆☆☆☆ 32 square metres 2 Twin Beds Free WIFI	Non-refundable	Book now! HK\$2040 OR RMB¥1700

Source 2: statistical data about tourism in Hong Kong in 2016

	2016	Compared with 2015 (%)
Mainland visitors	42.8 million	-6.7%
Total visitors	56.65 million	-4.5%
Total tourism expenditure associated to inbound tourism	HK\$296.2 billion	-10.1%

Source 3: exchange rate of the Renminbi (RMB) to the US dollar (USD) between 2015 and 2016



Answers written in the margins will not be marked.

- (a) With reference to Source 1, give **TWO** reasons to explain why the market structure of Hong Kong's hotel industry is **NOT** perfectly competitive. (4 marks)
- (b) Which **TWO** functions of money does the Renminbi perform in Source 1? Explain. (4 marks)
- (c) With reference to Source 2, to which component of Hong Kong's GDP does the 'total tourism expenditure associated to inbound tourism' belong? (1 mark)
- (d) A reporter stated, 'The change in the exchange rate of the Renminbi to the US dollar was a major factor contributing to the change of the total tourism expenditure associated to inbound tourism.' Based on Sources 2 and 3, justify his statement. (6 marks)

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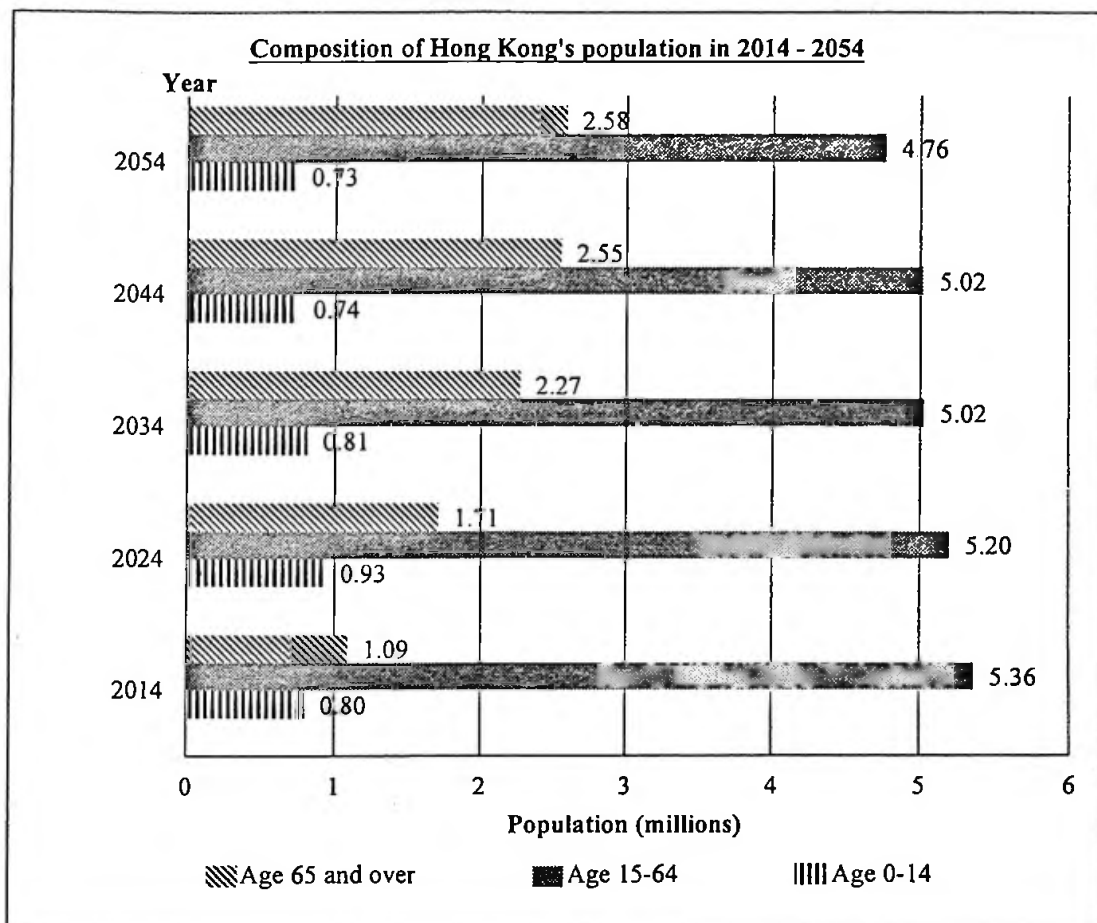
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13. The source below shows Hong Kong's population projection.



- (a) With reference to the above source, briefly discuss the possible effects of the change in composition of population on
- (i) potential output and
 - (ii) fiscal balance
- in the future. (5 marks)
- (b) In view of the population projection in Hong Kong, politicians suggest the following measures:
- (i) providing subsidy for firms to improve production technology
 - (ii) importing more workers
- Analyse how each of the above two measures affects average labour productivity. (5 marks)
- (c) Susan is a local S6 graduate and is considering enrolling a programme in either primary education or nursing in Hong Kong. If future income is her major concern, which programme would you recommend to her? Explain your choice with reference to the above source. (4 marks)

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END OF SECTION B

Answers written in the margins will not be marked.

Section C (16 marks) Answer any ONE question.

14. The petrol market in Hong Kong is dominated by five oil companies, namely Esso, Shell, Caltex, Sinopec and PetroChina.

Source: adapted from a report by Hong Kong Competition Commission

Same prices are often set across all petrol filling stations even though the stations are owned by different oil companies. Also only the most expensive type of petrol, '98 RON', is sold in the petrol market while other cheaper types of petrol with lower RON are unavailable in Hong Kong.

- (a) Name **ONE** anti-competitive behaviour that may be found in the above source. State **TWO** ways such behaviour may harm consumers. (3 marks)
- (b) Suggest **ONE** alternative reason to explain the behaviour of the oil companies in the source instead of accusing them of practising anti-competitive behaviour. (2 marks)

Figure 3

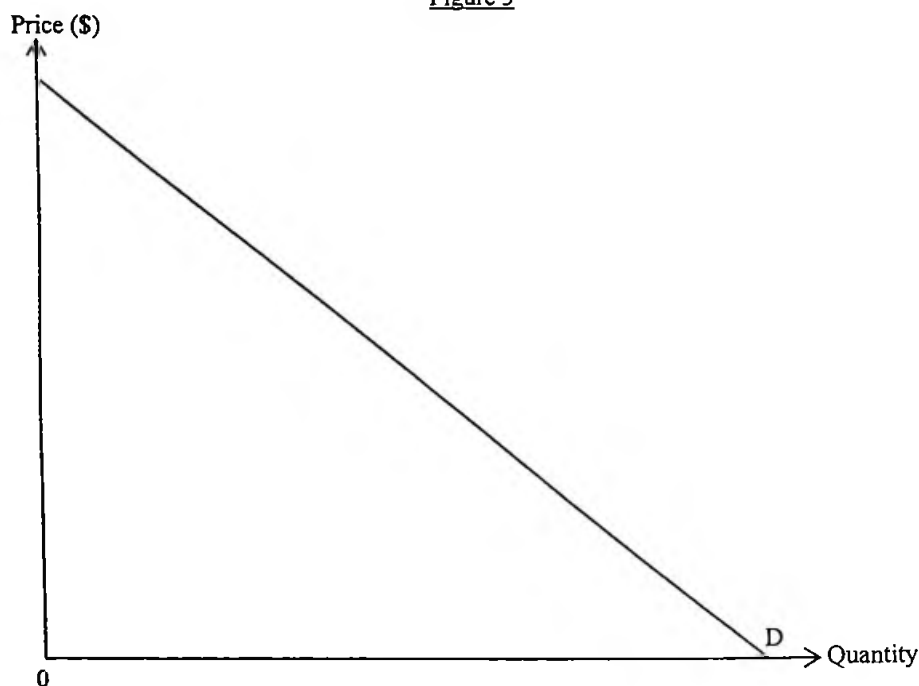


Figure 3 shows the demand curve faced by a franchised bus company in Hong Kong. For simplicity, suppose the cost of fuel is the only cost of production and the company adopts uniform pricing.

- (c) Indicate the profit maximising output level as Q_M and price as P_M in Figure 3. (3 marks)

Suppose all the oil companies increase the price of fuel sharply.

- (d) Indicate the new price and quantity transacted as P_2 and Q_2 respectively in Figure 3. Indicate the deadweight loss in Figure 3 after the rise in fuel price. (3 marks)
- (e) Case 1: The bus company charges the elderly aged 65 or above \$2 per trip.
Case 2: The bus company offers return discount concessions for all passengers.
Does each of the above two cases constitute price discrimination? Explain. (5 marks)

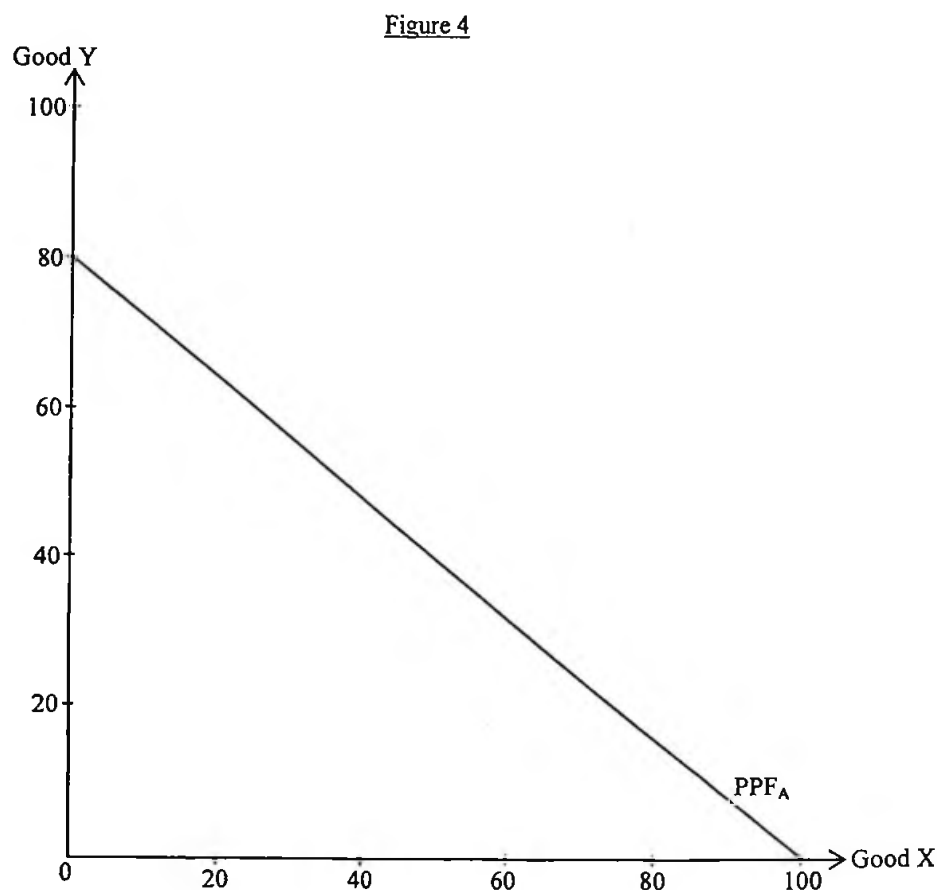
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15. Figure 4 shows the production possibility frontier (PPF_A) of Country A.



Both Country A and its trading partner, Country B, produce Good X and Good Y. Country A has 50 units of resources whereas Country B has 30 units of resources. Country B requires 1 unit of resources to produce 1 unit of Good X and 0.5 units of resources to produce 1 unit of Good Y.

- (a) Draw the production possibility frontier of Country B (PPF_B) in Figure 4. (1 mark)
- (b) Explain which country has an absolute advantage in producing Good X. (3 marks)
- (c) The two countries trade with each other and the terms of trade is $1X = 1Y$. Also, Country B consumes equal amount of Good X and Good Y after trade. In Figure 4, indicate
 - (i) the production point (P_B) of Country B after specialisation, (1 mark)
 - (ii) the consumption possibility frontier (CPF_B) and consumption point (C_B) of Country B after trade and (2 marks)
 - (iii) the consumption possibility frontier (CPF_A), the volume of import and the volume of export of Country A. (3 marks)
- (d) Explain whether the following policies would result in an increase in a country's Human Development Index (HDI).
 - (i) The government closes down environmentally harmful power plants and factories. (3 marks)
 - (ii) The government grants citizenship to all illegal immigrants so that they can stay and work in the country legally. (3 marks)

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Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Sources of materials used in this paper will be acknowledged in the booklet *HKDSE Question Papers* published by the Hong Kong Examinations and Assessment Authority at a later stage.

Answers written in the margins will not be marked.

Supplementary Answer Sheet

Question No. _____

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Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Marking Schemes

Paper 1

Question No.	Key	Question No.	Key
1.	D (59%)	26.	A (80%)
2.	D (81%)	27.	D (76%)
3.	B (80%)	28.	B (80%)
4.	B (79%)	29.	C (65%)
5.	B (58%)	30.	C (52%)
6.	D (42%)	31.	C (69%)
7.	D (69%)	32.	C (40%)
8.	A (83%)	33.	A (53%)
9.	C (94%)	34.	C (39%)
10.	C (65%)	35.	B (49%)
11.	A (85%)	36.	D (62%)
12.	A (51%)	37.	B (72%)
13.	C (74%)	38.	D (58%)
14.	B (53%)	39.	A (65%)
15.	B (47%)	40.	A (24%)
16.	A (82%)	41.	D (43%)
17.	C (63%)	42.	*
18.	C (62%)	43.	D (38%)
19.	B (69%)	44.	A (46%)
20.	D (82%)	45.	D (57%)
21.	B (86%)		
22.	A (74%)		
23.	B (73%)		
24.	A (71%)		
25.	B (55%)		

* This item was deleted.

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

General note on item deletion

It is normal for the HKEAA to delete a small number of items from its multiple-choice question papers if they prove unsatisfactory. In practice, there are a number of reasons why this is considered necessary. By far the most common reason for deleting an item is that the item fails to discriminate between weak and able candidates – in other words, the majority of the candidates involved had to rely on guesswork in answering that question. If such an item is retained, the measurement process is rendered less effective. Where items have been deleted in the live papers, they are still included in this series of publications. They are indicated as deleted items. Such items may be discussed in the corresponding examination reports.

Paper 2

These documents were prepared for markers' reference. They should not be regarded as sets of model answers. Candidates and teachers who were not involved in the marking process are advised to interpret their contents with care.

The answers provided in the marking scheme are for reference only. They are not the only possible answers. Alternative answers are acceptable so long as they are well reasoned.

The examination emphasises the testing of the understanding of economic theories and the application of the knowledge of economic analysis to practical problems. Candidates are advised to study this document in conjunction with the examiner's comments on candidates' performance in this booklet.

For essay-type questions, candidates are expected to demonstrate an understanding of the question, an ability to deploy relevant knowledge of the subject in response to the questions, and to present their answers logically and coherently.

In questions asking for a specified number of reasons or examples etc. and a candidate gives more than the required number, the extra answers should not be marked. For instance, in a question asking candidates to provide two examples, and if a candidate gives three answers, only the first two should be marked.

The following symbols are used:

- / A single slash indicates an acceptable alternative within an answer.
- @ The number in front of the symbol indicates the marks for each point.
- max Maximum mark for the question/sub-question

Section A

Marks
(3)

1. Full cost = monetary cost + time cost
During holiday periods, although the monetary cost of travelling abroad (including air ticket fares and hotel expenses) is usually higher than that during non-holiday periods, the time cost (e.g., income foregone) may be a lot lower. If the time-cost saved outweighs the extra monetary cost, then in terms of full cost travelling abroad during holiday periods would be less expensive.

Marks

2. (a) Reasons:
- Peter wants to invite more investors to get new funds for expansion of his business.
 - Peter can make use of different expertise from Paul and Mary in the new markets.
 - Any other relevant points.
- [Mark the FIRST TWO points only.]

} @1
max: 2

- (b) Entrepreneurship,
as she bears business risk.

(2)

Marks

3. Explanations:
- Reduction of marketing and promotion costs, as the region would attract more buyers for high-technology products/services.
 - Reduction of transportation cost, as transport network and other infrastructures would develop more quickly, thus improving accessibility.
 - Reduction of average/marginal cost of recruiting more experienced and skilled workers, as more of these workers would be attracted to the region.
 - Any other relevant points.
- [Mark the FIRST TWO points only.]

} @2
max: 4

Marks

4. Factors:
- Race, as there may be racial discrimination in the job market and some ethnic minority groups may suffer a lower wage rate for the same job.
 - Gender, as sex discrimination may exist in the workplace. On average, female suffers a lower wage rate for the same rank.
 - Physical attributes, as average income may be higher for people who are fitter, or taller, or better-looking since these people are more productive for certain jobs (e.g., sportsmen, fashion models).
 - Any other relevant points.
- [Mark the FIRST TWO points only.]

} @2
max: 4

Marks**(3)**

5. (a) Supply of medical staff may be inelastic because they require special training and qualification. Even if the government raises their wage rates sharply, the percentage increase in the quantity supplied of medical staff would still be smaller than the percentage increase in their wage rates.

- (b) $\text{Unemployment rate} = (\text{number of unemployed people} / \text{the total labour force}) \times 100\%$

(4)

The number of unemployed people will not change while the labour force increases as the retired staff is not in the labour force originally. The unemployment rate will drop.

Marks**(4)**

6. (a) No. The reduction in the profits-tax rate may induce firms to increase their investment expenditure, so they may end up earning higher profits (tax base). Increase in profits tax revenue due to the increase in profits (tax base) may be greater than the decrease in profit tax revenue due to the reduction in tax rate.

- (b) Equality: The new tax is no longer proportional, meaning that it is inconsistent with the equality principle.

Economy: The new tax system may incur a slightly higher administration cost, rendering it less in line with the economy principle.

Certainty: Both the new and old tax systems are equally well-defined and announced publicly, so the new one would be just as certain as the old.

Convenience: There is no change in the method of tax collection, so the change in tax system would have no effect on convenience.

[Mark the FIRST point only.]

@2
max: 2

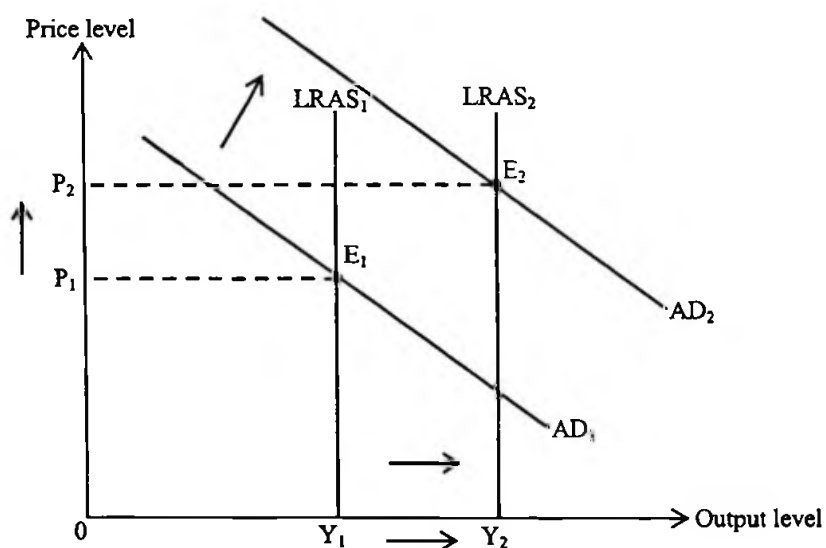
- | | Marks |
|---|---------------------|
| 7. (a) (i) New $M_0 = \$500 \text{ million} + \$100 \text{ million} + \$40 \text{ million} = \640 million | (2) |
| (ii) Banks do not hold excess reserves / there is sufficient demand for loans.
There is no cash leakage. | (2) |
| (iii) Old $M_s = \$2\,000 \text{ million} + \$100 \text{ million} = \$2\,100 \text{ million}$
$RRR = (\$500 \text{ million} - \$100 \text{ million}) / \$2\,000 \text{ million} = 0.2$
New $M_s = \$100 \text{ million} + (\$500 \text{ million} + \$40 \text{ million}) / 0.2$
$= \$2\,800 \text{ million}$
$\therefore M_s \text{ increases by } \$700 \text{ million } (= 2\,800 \text{ million} - 2\,100 \text{ million}).^1$ | (4) |
| (b) $MV = PY$, where M: money supply, V: velocity of circulation of money, P: price level, and Y: output

Assume V and Y are both constant. Then when M increases, P would increase by the same proportion.
<u>OR</u>
Assume V is constant. Then when the percentage increase in M is higher than that in Y, P would increase as well. | (4) |
| | |
| 8. (a) The opportunity cost of producing 1 T in China = 5C
The opportunity cost of producing 1 T in Japan = 2C | Marks
(2) |
| (b) If each country specialises in producing the good in which the country has lower opportunity cost, then total world output would increase.
Japan would export toys, as it has a lower cost of producing toys than China. | (3) |
| (c) Range of TOT: $2.05C < 1T < 4.95C$ | (2) |

¹ Credits would also be awarded to those candidates who reasoned that the public's initial cash holding of \$100 million might also be deposited into the banking system to yield \$500 million of additional deposits, resulting in an aggregate increase of \$1200 million of deposits and thus a net increase of \$1100 million of money supply. As a side note, for the topic of money and banking at the DSE level, cash held by the general public should be treated as an exogenous variable (i.e., change of cash in public is assumed to be zero except under other exogenous changes).

Marks

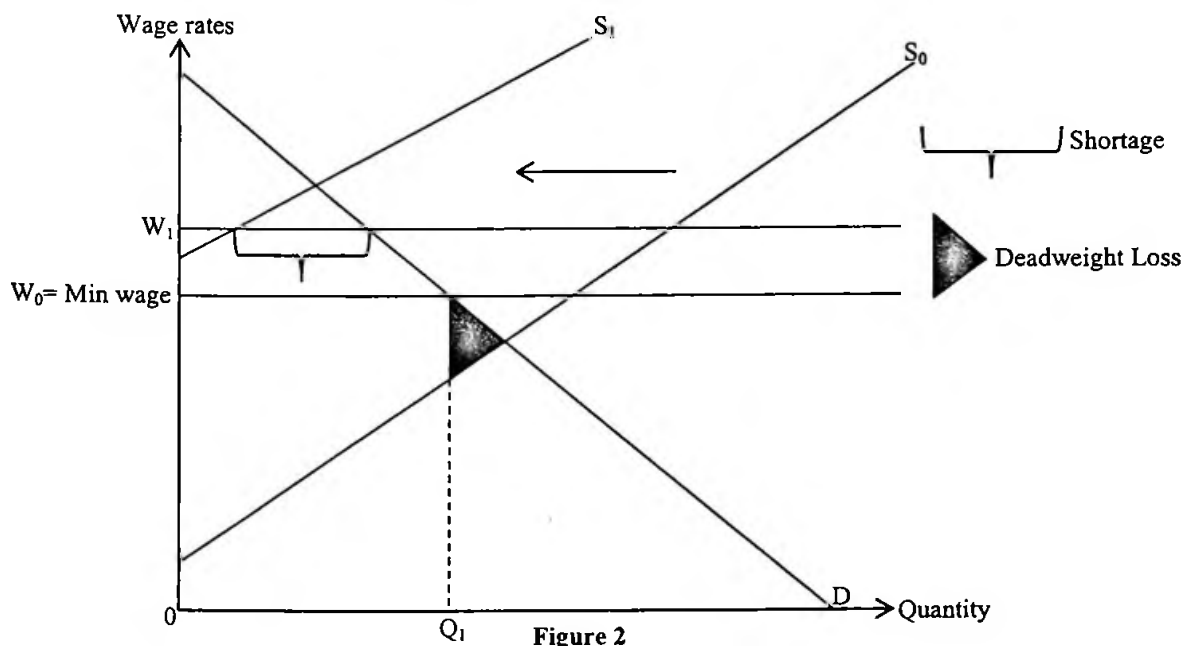
9. Illustrate in the diagram:
- Rightward shift of AD (due to more visitors from the Mainland) (1)
 - Rightward shift of LRAS (due to faster development of the HK economy) (1)
 - Correct position of P_2 (at E_2), with a bigger horizontal shift in AD than in LRAS (1)



Section B

- | | Marks |
|--|--------------|
| 10. (a) The cost of measuring the output of the foreign domestic helpers is too high / the work of domestic helpers is not standardised. | (2) |
| (b) The foreign domestic helpers will lose under unexpected inflation, as the purchasing power of their fixed wage would drop. | (2) |
| (c) <u>Verbal elaboration:</u>
At Q_1 , marginal benefit is greater than marginal cost. ² | (1) |
|
<u>Illustrate in Figure 2:</u> | |
| – correct position of minimum wage | (1) |
| – correct position of Q_1 | (1) |
| – correct position of deadweight loss | (1) |

Foreign Domestic Helpers in Hong Kong



² The theory of labour market (i.e. value of marginal product) is not required.

- (d) Filipino maids working in the Mainland and Filipino domestic helpers in Hong Kong are in competitive supply.
If competition from the Mainland sharply reduces the supply of foreign domestic helpers in Hong Kong, then shortage of such workers could still arise even at a higher wage rate.

Marks
(3)

Illustrate in Figure 2:

- Leftward shift of supply curve (1)
- Correct position of shortage at the higher wage rate (2)

(e) Possible phenomena:

- Employers may try to recruit domestic helpers from other countries to work in Hong Kong.
- The minimum wage may be raised / abolished by the government.³

} @1
max: 1

11. – General living standard:

The living standard would fall because the higher proportion of government expenditure or resources/output devoted to national defence would not have much to contribute to the living standard in general.

Overall the citizens would enjoy less goods and services. Since those males drafted for military service are forced to leave their existing jobs, their household income (and consumption) would fall.

– Aggregate output:

The SRAS curve would shift to the left, as less labour is available for production.

The AD curve would also shift to the left, as the UN embargo reduces exports from Country Z.

As a result, aggregate output would fall.

– Balance of payments (BOP):

BOP would be worsened.

Export of goods would fall because of the embargo.

Export of services would also fall as fewer tourists would want to visit Country Z because of the threat of war.

Foreign investors would withdraw their investments in Country Z, so capital may flow out of the country.

Marks

max: 10

³ More people may quit their jobs and take care of their children or the elderly on a full-time basis.

Marks

12. (a) Reasons:

- Sellers provide heterogeneous services, e.g., rooms with different size/features.
- Market information is imperfect, e.g., information about the quality of services.
- Price searcher / under competition there are different prices, e.g., different hotels charge different room rates for similar rooms.
- Any other relevant points.

[Mark the FIRST TWO points only.]

@2
max: 4

(b) Functions:

- Unit of account: The price of the hotel accommodation service is expressed in terms of RMB.
- Medium of exchange: RMB serves as a medium to facilitate people's buying and selling of services in the website.

[Mark the FIRST TWO points only.]

(2)

(2)

(c) Export of services / net exports.

(1)

- (d) During 2015-16, RMB depreciated against USD. Under HK's linked exchange rate system, the value of HKD would follow that of USD, so RMB depreciated against HKD as well.

Depreciation of RMB implies that goods in HK became more expensive in terms of RMB. Therefore fewer mainland tourists would come to HK, and those who came would spend less in HK. As mainland visitors were the major source of tourists in HK, a significant drop in "total tourism expenditure associated to inbound tourism" would result.

max: 6

- | | Marks |
|--|--------------|
| 13. (a) (i) Potential output would drop as the working-age population gradually decreases.
(from 5.36M in 2014 to 4.76M in 2054) | (2) |
| (ii) The fiscal balance may be worsened.
Government revenue may drop, as the working-age population, which accounts for a major portion of taxpayers, drops.
Government expenditure may increase, as the government spends more on medical services and transfer payments to the growing old-age population. | (3) |
| (b) (i) <u>Subsidy:</u>
Labour productivity would rise as improved technology or higher quality of capital goods would result in an increase in output per unit labour. | (2) |
| (ii) <u>Importing more workers:</u>
Uncertain. Labour productivity would increase if the imported workers are more productive on average than the existing local ones. | (3) |
| (c) Nursing, because
the demand for medical service would rise as a result of the aging population, and the demand for nurse is the derived demand for medical service. The expected future income of a nurse should thus be higher (than that of someone working in primary education). | (4) |

Section C

Marks

14. (a) Price fixing.
[Mark the FIRST point only.]

(1)

Potential loss to consumers:

- higher price
- lower output
- lack of choices to consumers
- loss in consumer surplus
- (price) competition restricted
- any other relevant point

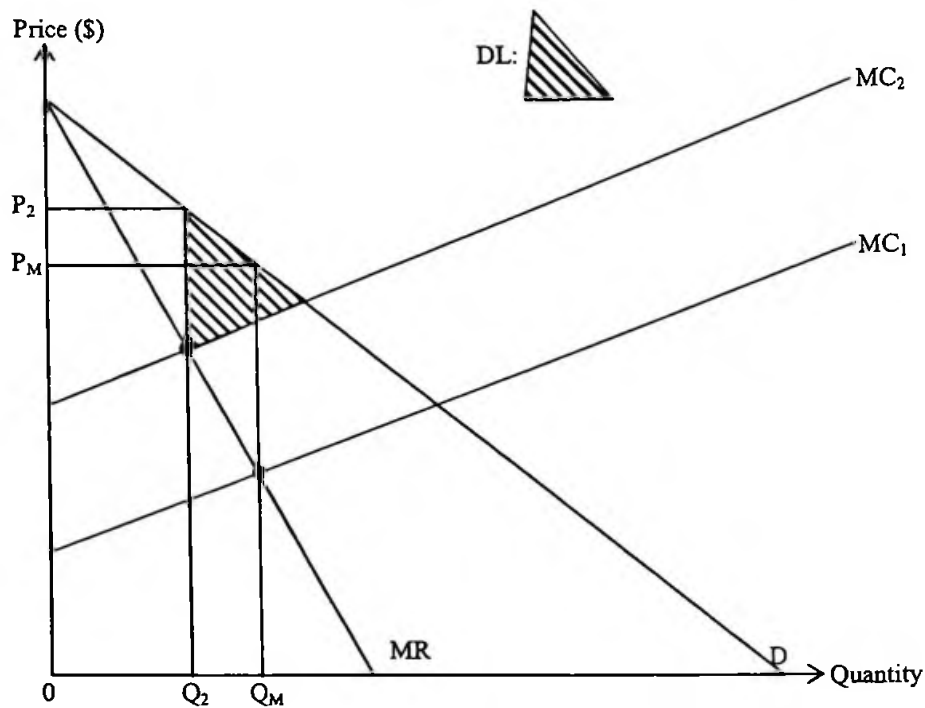
[Mark the FIRST TWO points only.]

} @1
max: 2

- (b) - Due to interdependence among firms in an oligopolistic market, whenever a firm changes its prices, all others would follow promptly. As a result, prices set by different firms in the market would end up being the same.
- Strong demand for high-quality petrol products, such as Ron 98. This justifies the supply of only one, the most expensive type of petrol.
- Any other relevant point
[Mark the FIRST point only.]

} @2
max: 2

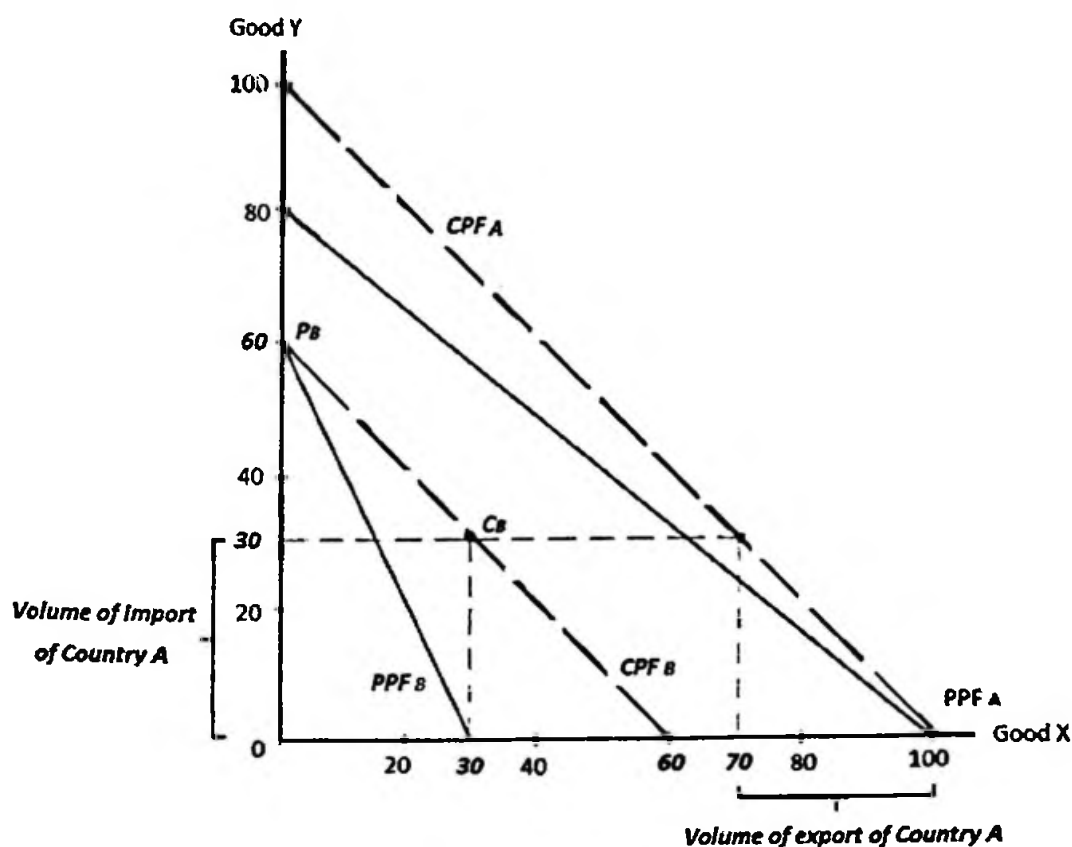
- | | Marks |
|---|--------------|
| (c) <u>Illustrate in the diagram:</u> | |
| Correct position of MR | (1) |
| Correct position of Q_M | (1) |
| Correct position of P_M | (1) |
|
(d) <u>Illustrate in the diagram:</u> | |
| Correct position of MC_2 | (1) |
| Correct position of P_2 and Q_2 | (1) |
| Correct position of DL | (1) |



- (e) Case 1: Yes, because the costs of serving the elderly or non-elderly are the same for the same bus service, but the elderly are being charged a lower fare. ⁴ (3)
- Case 2: No, as ALL customers enjoy the same discount and thus face the same pricing strategy, OR the market is not separated. (2)

⁴ Candidate may argue that public transportation services for the elderly are subsidized by the HK government, so that the bus company has not practised price discrimination.

15.



Illustrate in the diagram:

- (a) – Correct position of production possibility frontier of Country B (PPF_B)

(1)

- (b) – Country A has absolute advantage in producing Good X.
 – With the same amount of resources (30 units), Country A can produce a larger quantity of Good X (60 units) than Country B (30 units)
 – With the same amount of resources (50 units), Country A can produce a larger quantity of Good X (100 units) than Country B (50 units).
 – Country A can produce 1 unit of X with fewer units of resources (0.5 units of resources) than Country B (1 unit of resources).

(1)

Any one
@2

Illustrate in the diagram:

- (c) (i) – Correct position of production point of Country B (P_B)

(1)

- (ii) – Correct position of consumption possibility frontier of Country B (CPF_B)
 – Correct position of consumption point of Country B after trade (C_B)

(1)

(1)

- (iii) – Correct position of consumption possibility frontier of Country A (CPF_A)
 – Correct position of volume of import of Country A
 – Correct position of volume of export of Country A

(1)

(1)

(1)

Marks

(d) (i) Uncertain, because per capita GNI would fall while life expectancy may rise.⁵ (3)

(ii) Uncertain, because while per capita GNI may increase, average year of schooling and/or average life expectancy may drop. (3)

⁵ It may be argued that the effect on life expectancy would become significant only in the long term, so that the (immediate) GNI effect should dominate in the current period.

Candidates' Performance

Paper 1

Candidates' overall performance was good. The mean score of this paper was 28 out of 44. The following questions deserve special attention.

Q.15 The average waiting time for public housing is 4.7 years according to the data from the Housing Authority. Which of the following would lead to an increase in the waiting time for public housing in the long term?

- A. a financial aid offered to low-income families renting private residential flats (6%)
- *B. a rise in the income limit of applying for public housing (47%)
- C. a relaxation of rules regulating the change of land use (36%)
- D. a provision of shared-housing units by a billionaire for the applicants of Comprehensive Social Security Assistance Scheme (11%)

At the existing price, there is an excess demand for public housing. Relaxation of land-use regulations would probably raise the supply of land for public housing, allowing the Housing Authority to build more public units in the future. Other things being constant, an increase in future supply would result in a smaller shortage—or shorter waiting time—in the long term. Option C is thus incorrect. On the other hand, a rise in the income limit of applying for public housing would increase the number of eligible citizens, hence the demand—and waiting time—for public housing.

Q.40 A Hong Kong resident works for a Mainland company located in Shenzhen and he earns a monthly wage. He receives dividend from Hang Seng Bank and rental income from a leased apartment in Mongkok as well. He took a flight to Seoul departing from the Hong Kong International Airport last month.

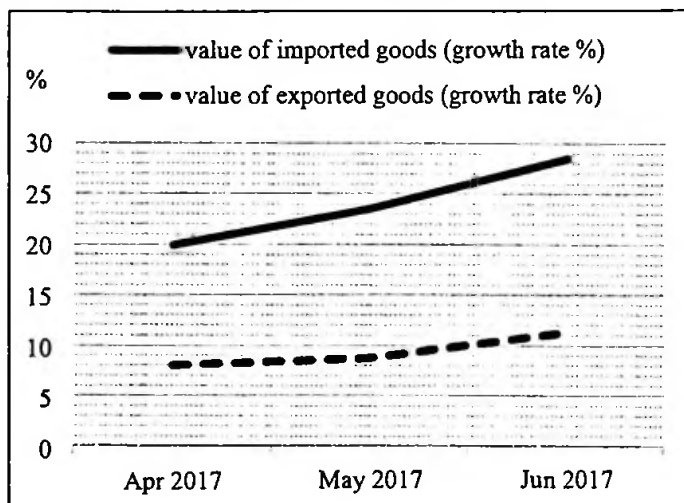
Which type(s) of direct tax does he need to pay in Hong Kong?

- (1) property tax
- (2) profits tax
- (3) salaries tax
- (4) air passenger departure tax

- *A. (1) only (24%)
- B. (1) and (4) only (58%)
- C. (1), (2) and (3) only (9%)
- D. (2), (3) and (4) only (9%)

Knowing that no profits tax and salaries tax are required to pay in Hong Kong in this case, most candidates were able to rule out Options C and D. But many of them overlooked the key words 'direct tax' and mistakenly picked Option B, revealing that either they were careless in reading the question or they did not realise that air passenger departure tax is an indirect tax rather than a direct tax.

Q.42 The diagram below shows some trade data of Country A in the second quarter last year.



Country A reported a trade surplus during that period. Based on the given information, we can conclude that during the second quarter last year,

- A. the trade balance was in deficit.
- B. the volume of imported goods increased faster than that of exported goods.
- C. the visible trade surplus decreased.
- D. the current account deficit increased.

This item was deleted as it did not effectively assess candidates' knowledge and understanding of trade balance. Most candidates were able to rule out option A as it is stated explicitly in the question that 'Country A reported a trade surplus'. However, some candidates might have confused the values of imported/exported goods with their corresponding volumes (ignoring their corresponding prices), and wrongly selected Option B as their answer. Candidates who had correctly interpreted the information from the diagram might have concluded that the visible trade surplus decreased and hence chose Option C. Such conclusion had overlooked the possibility that the initial value of exported goods might be many times bigger than the initial value of imported goods in the first quarter of 2017, so that even though the former grew at a slower rate than the latter, their difference (i.e. the trade surplus) could still increase in the second quarter of 2017. As for Option D, since information about trade balance was not sufficient for deducing any conclusion about the current account balance, candidates should not have chosen this as their answer.

Q.44. The Hong Kong Tourism Board organised the E-sports and Music Festival in summer 2017. Foreign E-sports players and K-pop superstars participated in the festival and they attracted locals and tourists from other parts of the world to attend the event. Organising the festival will lead to

- (1) an increase in private consumption expenditure in Hong Kong.
- (2) an increase in export of services in Hong Kong.
- (3) a decrease in balance of payment deficit in Hong Kong.

- *A. (1) and (2) only (46%)
- B. (1) and (3) only (8%)
- C. (2) and (3) only (8%)
- D. (1), (2) and (3) (38%)

Most candidates were able to identify the effects of the festival on private consumption expenditure and export of services in Hong Kong. However, many of them drew an incorrect conclusion about its effect on the balance of payments (BOP). To explain why statement (3) is incorrect, one merely has to either (a) recall the fact that Hong Kong has recorded BOP surpluses in recent years, or (b) understand that a project involving both payments to foreign countries (e.g. factor incomes paid to foreigners) and payments from foreign countries (e.g. export of services) in the current account would lead to an ambiguous effect on the BOP.

Paper 2

Section A

Q. number	Performance in General
1	Satisfactory. Many candidates gave an accurate definition of full cost, and correctly pointed out that the full cost of traveling abroad during holiday periods might be lower than that during non-holidays. However, some candidates failed to provide detailed explanations. For instance, they did not refer to the higher monetary costs and, in contrast, possibly lower time costs during holidays (relative to non-holidays), so that overseas travels might end up being cheaper during holiday periods if time-cost saved outweigh the extra monetary costs.
2(a)	Excellent.
2(b)	Satisfactory. Most candidates correctly identified Mary's role as an entrepreneur. Some candidates wrongly treated Mary as capital because she provided (financial) capital to the company. A small number of candidates tried to provide a reason behind Mary's role as an entrepreneur as she takes part in making business decisions. This, unfortunately, was contradictory to the information provided in the question.
3	Satisfactory. Many candidates were aware that clustering of an industry could bring joint benefits. However, some were unable to either (a) specify the types of costs that could be lowered or (b) relate their discussions to the reduction in the average cost of production. A small number of candidates confused the concept of external economies of scale with that of internal economies of scale.
4	Good. Most candidates were able to list two factors leading to income inequality, but only some managed to provide proper explanations. Instead of simply quoting terms like racial or sex discrimination, candidates were required to elaborate on the different kinds of discrimination that may prevail in the economy. Furthermore, instead of making vague statements like 'physical attributes affect income', they were required to explain specifically which type of people — with which kind of physical attribute (e.g. height / fitness / appearance) — would earn higher income on average.
5(a)	Fair. Common errors include: - confusing the elasticity of supply with the elasticity of demand; - comparing the percentage changes in price (wage rates) and in quantity demanded for medical staff to infer about the resulting change in total revenue (total cost of medical staff).
5(b)	Good. Many candidates demonstrated a good understanding of the 'unemployment rate' formula and of how the change in government policy would affect each of the variables in the formula. Only a small number of candidates failed to state the formula or forgot that the unemployment rate should be in percentage terms.
6(a)	Satisfactory. Some candidates did not realise that a change in the profits tax rate would affect the firm's incentive to invest and thus profits from its investment (tax base) as well. Some argued erroneously that the working incentive of labour would be affected. Among those who correctly identified the positive effect of the reduction in profits tax rate on income, some failed to specify clearly the condition for the profits tax revenue to increase.
6(b)	Fair. Most candidates were able to name one principle of taxation. But only some candidates made use of the information provided in the question to discuss whether the new tax system was consistent with their chosen principle. Some misunderstanding regarding the principles was evident. This included the misinterpretation of the concepts of - 'equity' as a requirement for tax payers with bigger profits to be charged at higher tax rates and; - 'economy' as a reduction in the firm's profits tax payments due to a lower tax rate (8.25% instead of 16.5%) on the first \$2 million of earned profits (the first tier).
7(a)(i)	Good. A minority of candidates mistakenly thought that the central-bank purchase of government bonds from the public would reduce the amount of cash in circulation.

Q. number	Performance in General
7(a)(ii)	Good.
7(a)(iii)	Fair. Many candidates were able to start by calculating the required reserve ratio, but unable to apply their knowledge of money and banking correctly to handle this somewhat unfamiliar case. The following is a list of mistakes and omissions evident in some candidates' work: - failing to realise that the \$40 million purchase of government bonds by the central bank should provide additional reserve for banks to carry out credit creation; - mis-reading the question: some candidates merely calculated the maximum possible amount of (new) money supply, without finding the maximum possible <i>change</i> in money supply as required by the question.
7(b)	Good. A small number of candidates did not state their assumptions when discussing the quantity theory of money (QTM), while some failed to indicate clearly the prediction of QTM regarding the change in the general price level.
8(a)	Good. The only problem was the inaccuracy in the units in which some candidates stated their answers.
8(b)	Fair. Most candidates were able to provide the meaning of comparative advantage, but only some of them managed to state the principle of comparative advantage clearly and correctly. For instance, some failed to associate it with 'lower opportunity cost.'
8(c)	Fair. Some candidates were unable to express the inequality — i.e. the range of terms of trade (TOT) — in proper units, while some expressed it in the reverse direction. Some others did not realise that the transportation cost would raise the lower bound, but also lower the upper bound, of the TOT range.
9	Excellent. Only a minority of candidates failed to indicate the new equilibrium point correctly — i.e. at the intersection of the new AD and new LRAS curves.

Section B

Q. number	Performance in General
10(a)	Excellent.
10(b)	Excellent. Most candidates were able to explain their answers by using the concept of purchasing power of money or real value of wage.
10(c)	Good. Many candidates correctly drew the minimum wage at a level higher than the market-clearing wage (i.e. above the intersection between the supply and demand curves). However, some diagrams were either incomplete — with missing labels (e.g. D, S, or W) — or inaccurate — failing to highlight the 'deadweight loss' area. In their verbal explanations, a few candidates were unable to state the inefficiency condition: marginal benefit > marginal cost.
10(d)	Fair. Common mistakes included: - misconceiving that foreign domestic helpers in Hong Kong and China are in joint supply; - mistaking the effect of China's open door to Filipino domestic helpers as being an increase in the demand for (instead of a decrease in the supply of) these maids in HK; - overlooking the information about the wage increase and failing to show such an increase in their diagrams; - showing the shortage of foreign domestic helpers only at the original minimum-wage level, but not at a higher wage level; - showing diagrammatically a relatively mild reduction in supply, resulting in a surplus (excess supply) rather than a shortage (excess demand) of helpers.

Q. number	Performance in General
10(e)	Satisfactory. There were a lot of possibilities, and many candidates made good attempts at predicting what could happen in the market.
11	Satisfactory. Most candidates were able to make use of appropriate tools to analyse the effects on Country Z. The following problems were identified: - focusing wrongly on why Country Z's living standard had been over-estimated instead of how its living standard would change; - failing to realise that the (likely) reduction in the production of consumer goods could be a reason for the drop in living standard; - mistaking the increase in the proportion of government spending on national defence for an increase in government expenditure; - mistaking a worsening in the balance of payments (BOP) for BOP deficits; - failing to indicate whether the embargo would reduce visible or invisible exports; - failing to accurately use such BOP-related terms as capital inflow/outflow, and inflow/outflow of factor incomes.
12(a)	Good. Most candidates were able to make use of the information provided as evidence to illustrate why the market for hotel services is not perfectly competitive.
12(b)	Good. Most candidates were able to identify the relevant functions of money performed by RMB in this context. However, only some of these candidates used the information provided to illustrate their answers. A small number of candidates might have misread the question and chose to discuss the functions of prices (rather than money) in their answers.
12(c)	Good. A minority of candidates mistook the inbound-tourist expenditure for private consumption expenditure.
12(d)	Satisfactory. Most candidates were able to identify the depreciation of RMB against USD and to make an inference regarding the corresponding depreciation of RMB against HKD under the linked exchange rate system. Common problems included: - providing arguments to show that the reporter was wrong instead of justifying his statement; - misinterpreting Source 3 as a depreciation of the USD; - failing to state clearly whether the RMB depreciated against the USD or HKD; - failing to relate the depreciation of RMB against HKD to the rise in prices of goods and services in Hong Kong (in terms of RMB) to the Mainland tourists.
13(a)(i)	Excellent. A minority of candidates did not read the information carefully and erroneously stated that there was an increase in the working-age population.
13(a)(ii)	Good. Most candidates pointed out that 'an increase in government expenditure on medical services and welfare' or 'a decrease in tax revenue due to a fall in the working-age population' might result from the change in population composition. Some candidates used the term 'imbalance' to describe the effect on fiscal balance. The use of this term was considered not to be sufficiently precise.
13(b)(i)	Excellent. Most candidates stated that 'advances in technology' / 'mechanisation' / 'lower production cost' / 'same output with less labour input' would result in a rise in labour productivity.
13(b)(ii)	Fair. Only some candidates were able to draw a conclusion based on a productivity comparison between the newly-imported workers and the existing workers. Some candidates did not seem to understand the definition of average labour productivity, apparently thinking that, by increasing output (via more imported workers), labour importation would help increase average productivity. Others only focused on the change in labour force, but ignored the possible change in output.
13(c)	Good. Most candidates were able to apply economic concepts and theories to recommend the nursing as a programme with better income prospects. Weaker candidates failed to explain their answers by using such terms as derived demand, wages and factor of production.

Section C

Q. number	Popularity	Performance in General
14(a)	54%	Excellent.
14(b)		Satisfactory. Some candidates did not understand the meaning of the key words 'alternative reason,' and thus gave irrelevant answers. Instead of applying clear economic concepts, some candidates only managed to provide vague arguments.
14(c)		Good. Most candidates were able to find the correct profit-maximising price (P_m) and output (Q_m) levels. Some candidates misinterpreted the phrase 'the cost of fuel is the only cost of production' as meaning zero marginal cost (MC). Others wrongly labelled the MC curve as the supply curve.
14(d)		Fair. Some candidates committed the following mistakes: - failing to identify any deadweight loss or wrongly indicating the deadweight loss before the fuel-price increase; - failing to identify the change in MC; - misconceiving a rise in fuel price as a reduction in MC; - failing to find the new equilibrium price and quantity after the rise in fuel cost even if they drew the new MC correctly.
14(e)		Good.
15(a)	46%	Good. Some candidates wrongly labelled the two intercepts as they confused the X and Y axes.
15(b)		Good. The majority of candidates were able to identify A as the country with absolute advantage in producing X. However, some candidates only wrote the definition of absolute advantage without providing an explanation in terms of the outputs of Good X produced by the two countries under the same amount of resources.
15(c)(i)(ii)(iii)		Satisfactory. Most candidates were able to draw PPF_B and to indicate P_B correctly in the diagram. Many candidates were also able to draw CPF_B and indicate C_B correctly. However, quite a number of them were unable to make use of both P_B and C_B to derive the import and export volumes. This showed the candidates' weakness in applying trade theory in a somewhat more complicated case. Some mistakes included: - failing to identify the consumption point of country A (i.e. C_A); - indicating in the diagram the import and export volumes of country B rather than those of country A; - indicating in the diagram the export volume with reference to P_A (correctly) but the import volume with reference to P_B (incorrectly); - mis-representing the import/export volume as a single consumption basket (i.e. a single point) in the diagram.
15(d)(i)(ii)		Satisfactory. In part (i), most candidates were able to explain the change in the Human Development Index (HDI) with reference to life expectancy and/or output. However, only some realised that there might be offsetting effects, resulting in the possibility of HDI changing ambiguously. In part (ii), some candidates failed to realise that differences in the productivity/health/education levels between the illegal immigrants and the original residents might result in a change in the country's HDI. Some candidates mistakenly thought that GDP (aggregate output), rather than per capita GNI, should be used in the calculation of HDI. Weaker candidates did not discuss changes in the three parameters in the HDI measure (i.e. national income, life expectancy, and education). Instead, such candidates merely gave vague arguments in their answers.

General comments and recommendations

1. Some candidates lacked a thorough understanding of basic economic concepts and principles, especially when applying them to solve hypothetical or real-life problems. Candidates should strengthen their analytical skills instead of simply regurgitating concepts and theories.
2. Some candidates did not read the questions carefully. Candidates should devote special attention to the assumptions and conditions laid down in the questions to avoid giving irrelevant answers.
3. Some candidates had difficulty in presenting their answers in a precise way. Candidates should equip themselves with better language abilities as well as graphical skills.
4. Some candidates lacked awareness of current economic issues in our society. Candidates should pay more attention to economic news.
5. Some candidates lacked skills to extract information from tables and graphs as well as to draw well-labelled diagrams. Candidates should pay special attention to the headings, labels and axes as they are essential to our understanding of the data presented therein.